# CIA Part 1 – Questions 401–500 (Hard, Wilson-Style)

## IIA Code in Practice, CAE Governance, Quality, Supervision & Communication

Study Deck

October 17, 2026

# Format

100 new questions (Q401–Q500), none repeated from Q1–Q400.

Focus shift: applied ethics, CAE–board relationship, QAIP details, supervision & review, workpaper documentation, communication criteria, and glossary definitions.

Style: "which is best," "which is LEAST likely," "MOST likely."

Each: stem + A–D, then a detailed explanation slide.

# Q401

**Question:** An internal auditor is asked by a friend in the auditee department to "give a heads-up" about which samples will be selected. Which action BEST conforms to the IIA Code of Ethics?

A. Share the sample list, since it is not confidential.

B. Decline, because it compromises the audit's integrity and could allow manipulation of evidence.

C. Share only the sample size, not the specific items.

D. Share the list but document the request.

**Correct Answer: B**

# Q401 – Explanation

**Correct: B.** Pre-disclosing samples lets the auditee prepare or alter evidence, undermining audit integrity (Integrity and Objectivity principles).

**A wrong:** Sample selections are confidential engagement information.

**C wrong:** Even the size can be used to game the process.

**D wrong:** Documenting the breach does not cure it.

# Q402

**Question:** Which is the BEST example of applying the Competency principle of the IIA Code?

A. Accepting an engagement in a highly technical area without training.

B. Declining an engagement and referring it to someone with the required expertise.

C. Relying on the auditee's experts to perform the audit.

D. Skipping continuing professional education to save time.

**Correct Answer: B**

# Q402 – Explanation

**Correct: B.** Competency requires the knowledge, skills, and experience needed; if absent, decline or obtain competent help (Standard 1210, Code Rule 4.1).

**A wrong:** Accepting without competence violates the Code.

**C wrong:** The auditee cannot substitute for auditor competence.

**D wrong:** Skipping CPE undermines proficiency (Standard 1230).

# Q403

**Question:** An auditor is offered a paid speaking engagement by a vendor the organization is auditing. Which is the MOST appropriate action?

A. Accept; speaking fees are not gifts.

B. Decline or disclose and evaluate whether it impairs objectivity, since it creates a self-interest threat.

C. Accept but do not disclose.

D. Accept only if the fee is small.

**Correct Answer: B**

# Q403 – Explanation

**Correct: B.** A paid engagement from an audited vendor creates a self-interest threat; decline or disclose and assess impairment.

**A wrong:** Fees can be a benefit with the same effect as gifts.

**C wrong:** Non-disclosure violates the Code.

**D wrong:** "Small" is subjective and still creates a threat.

# Q404

**Question:** Which statement about the auditor's obligation to report misconduct under the IIA Code is MOST accurate?

A. The auditor may always remain silent.

B. The auditor must report through appropriate channels and may escalate if unresolved.

C. The auditor must report to the media first.

D. The auditor should confront the wrongdoer personally.

**Correct Answer: B**

# Q404 – Explanation

**Correct: B.** The Code requires reporting misconduct through appropriate channels and escalating if needed.

**A wrong:** Silence can violate Integrity.

**C wrong:** Media disclosure is improper.

**D wrong:** Personal confrontation can compromise an investigation.

# Q405

**Question:** Which is the BEST description of "whistleblowing" under the IIA Code?

A. Disclosing misconduct to the public without regard to channels.

B. Reporting misconduct through appropriate internal or external channels.

C. Ignoring misconduct.

D. Sharing misconduct with colleagues.

**Correct Answer: B**

# Q405 – Explanation

**Correct: B.** Whistleblowing is reporting misconduct via approved channels, often through hotlines or the audit committee.

**A wrong:** Public disclosure without cause is improper.

**C wrong:** Ignoring misconduct violates Integrity.

**D wrong:** Colleagues are not an appropriate channel.

# Q406

**Question:** The CAE reports functionally to the board and administratively to the CEO. Which statement is MOST accurate?

A. This dual structure weakens independence.

B. This dual structure supports independence while enabling day-to-day administration.

C. The CAE should report only to the CFO.

D. The CAE should report only to the external auditor.

**Correct Answer: B**

# Q406 – Explanation

**Correct: B.** Functional reporting to the board (charter, plan, reporting, performance) protects independence; administrative reporting to the CEO handles HR/budget.

**A wrong:** This is the recommended structure.

**C wrong:** CFO reporting impairs independence over financial audits.

**D wrong:** Reporting to the external auditor is inappropriate.

# Q407

**Question:** Which is the MOST appropriate topic for the CAE to discuss in a private session with the board?

A. Marketing plans.

B. Sensitive issues that management may not want raised.

C. The cafeteria menu.

D. Individual auditors' salaries.

**Correct Answer: B**

# Q407 – Explanation

**Correct: B.** The CAE should have direct, private access to the board for sensitive matters (Standard 7.1/Principle 7).

**A wrong:** Marketing is unrelated.

**C wrong:** Trivial.

**D wrong:** Salary details are administrative.

# Q408

**Question:** Which is the BEST description of the audit committee's role in internal audit's quality assurance program?

A. It performs the external assessment.

B. It receives results of external assessments and oversees the QAIP.

C. It writes the audit workpapers.

D. It selects audit samples.

**Correct Answer: B**

# Q408 – Explanation

**Correct: B.** The audit committee oversees the QAIP and receives external assessment results (Standard 1312/1320).

**A wrong:** External assessments are by qualified reviewers.

**C wrong:** Workpapers are internal audit's.

**D wrong:** Sampling is an audit function.

# Q409

**Question:** Which is the BEST evidence of proper engagement supervision?

A. The audit report only.

B. Documented supervisory review notes and sign-offs in the workpapers.

C. The auditee's opinion.

D. The budget.

**Correct Answer: B**

# Q409 – Explanation

**Correct: B.** Supervision is evidenced by review notes and sign-offs (Standard 2340).

**A wrong:** The report is an output.

**C wrong:** Auditee opinion is not evidence.

**D wrong:** Budget is a resource.

# Q410

**Question:** Which is the MOST appropriate action when a reviewer finds an unsupported conclusion in a draft workpaper?

A. Delete the conclusion silently.

B. Return it for additional evidence and document the resolution.

C. Ignore it.

D. Approve it.

**Correct Answer: B**

# Q410 – Explanation

**Correct: B.** The reviewer should require adequate support and document the resolution (Standard 2340).

**A wrong:** Silent deletion hides a quality issue.

**C wrong:** Ignoring unsupported conclusions is improper.

**D wrong:** Approving unsupported work violates the Standards.

# Q411

**Question:** Which is the BEST description of a "workpaper"?

A. The final audit report.

B. Records documenting the work performed, evidence obtained, and conclusions reached.

C. The engagement letter.

D. The audit committee minutes.

**Correct Answer: B**

# Q411 – Explanation

**Correct: B.** Workpapers support the report and demonstrate conformance (Standard 2330).

**A wrong:** The report is a deliverable.

**C wrong:** The engagement letter is an agreement.

**D wrong:** Minutes are governance records.

# Q412

**Question:** Which of the following is LEAST likely to be a criterion for a good engagement communication?

A. Accurate.

B. Objective.

C. Lengthy.

D. Timely.

**Correct Answer: C**

# Q412 – Explanation

**Correct: C.** Good communications are accurate, objective, clear, concise, constructive, complete, and timely; "lengthy" is not a virtue.

**A wrong:** Accuracy is required.

**B wrong:** Objectivity is required.

**D wrong:** Timeliness is required.

# Q413

**Question:** Which is the MOST appropriate action if the auditor believes the engagement's scope is being inappropriately restricted?

A. Accept the restriction.

B. Report the restriction to the board per the charter.

C. Ignore it.

D. Change the engagement objectives.

**Correct Answer: B**

# Q413 – Explanation

**Correct: B.** Scope restrictions must be reported to the board (Standard 1130/2600).

**A wrong:** Accepting a restriction compromises the engagement.

**C wrong:** Ignoring it is improper.

**D wrong:** Objectives should not be silently changed.

# Q414

**Question:** Which is the BEST description of the "IIA Glossary"?

A. A marketing document.

B. An official source of defined terms used in the Standards.

C. The audit report.

D. The audit plan.

**Correct Answer: B**

# Q414 – Explanation

**Correct: B.** The Glossary defines key terms that underpin the Standards.

**A wrong:** It is a technical reference.

**C wrong:** The report is an output.

**D wrong:** The plan is a tool.

# Q415

**Question:** Which definition of "governance" is MOST consistent with the IIA Glossary?

A. The marketing strategy.

B. The combination of processes and structures implemented by the board to inform, direct, manage, and monitor activities toward objectives.

C. The audit committee's schedule.

D. The external audit report.

**Correct Answer: B**

# Q415 – Explanation

**Correct: B.** That is the IIA Glossary definition of governance.

**A wrong:** Marketing is unrelated.

**C wrong:** Schedules are cadence, not governance.

**D wrong:** The external report is an output.

# Q416

**Question:** Which definition of "control processes" is MOST consistent with the IIA Glossary?

A. The budget.

B. The policies, procedures, and activities designed and operated to manage risks within risk tolerance.

C. The audit report.

D. The marketing plan.

**Correct Answer: B**

# Q416 – Explanation

**Correct: B.** That is the IIA Glossary definition of control processes.

**A wrong:** Budgeting is a control activity.

**C wrong:** The report is an output.

**D wrong:** Marketing plans are unrelated.

# Q417

**Question:** Which is the MOST appropriate way for the CAE to coordinate with the external auditor?

A. Allow the external auditor to direct internal audit's work.

B. Coordinate timing, scope, and observations while preserving independence.

C. Avoid all contact.

D. Share all confidential data without restriction.

**Correct Answer: B**

# Q417 – Explanation

**Correct: B.** Coordination improves coverage and efficiency but must preserve independence and confidentiality.

**A wrong:** External audit does not direct internal audit.

**C wrong:** Avoidance wastes coordination benefits.

**D wrong:** Unrestricted sharing can breach confidentiality.

# Q418

**Question:** Which is the BEST description of "assurance" in the IIA Glossary?

A. A marketing promise.

B. An objective assessment providing an independent opinion or conclusion.

C. The audit plan.

D. The budget.

**Correct Answer: B**

# Q418 – Explanation

**Correct: B.** Assurance is an objective assessment providing a conclusion.

**A wrong:** It is not a marketing promise.

**C wrong:** The plan is a tool.

**D wrong:** The budget is a resource.

# Q419

**Question:** Which is the MOST appropriate action when the CAE is excluded from an audit committee meeting?

A. Accept it silently.

B. Raise the matter with the audit committee chair and document it.

C. Ignore the committee entirely.

D. Report to the media.

**Correct Answer: B**

# Q419 – Explanation

**Correct: B.** The CAE should escalate exclusion with the chair; access to the board is part of independence.

**A wrong:** Silent acceptance could impair the CAE's ability to fulfil the mandate.

**C wrong:** Ignoring the committee undermines governance.

**D wrong:** Media disclosure is inappropriate.

# Q420

**Question:** Which is the BEST description of "consulting" in the IIA Glossary?

A. An assurance engagement.

B. An advisory service that adds value without assuming management responsibility.

C. A financial audit.

D. A compliance audit.

**Correct Answer: B**

# Q420 – Explanation

**Correct: B.** Consulting is advisory and must avoid management responsibility.

**A wrong:** Assurance is objective assessment.

**C wrong:** Financial audit is assurance.

**D wrong:** Compliance audit is assurance.

# Q421

**Question:** Which is the BEST description of "control" in the IIA Glossary?

A. The marketing plan.

B. Any action taken by management to enhance the likelihood that objectives are achieved.

C. The audit report.

D. The budget.

**Correct Answer: B**

# Q421 – Explanation

**Correct: B.** Control is any action by management to manage risk and enhance objective achievement.

**A wrong:** Marketing is unrelated.

**C wrong:** The report is an output.

**D wrong:** Budget is a resource.

# Q422

**Question:** Which is the BEST description of "risk" in the IIA Glossary?

A. The budget.

B. The positive or negative effect of uncertainty on objectives.

C. The audit plan.

D. The marketing plan.

**Correct Answer: B**

# Q422 – Explanation

**Correct: B.** Risk includes both upside and downside effects of uncertainty.

**A wrong:** Budget is a resource.

**C wrong:** The plan is a tool.

**D wrong:** Marketing is unrelated.

# Q423

**Question:** Which is the MOST appropriate way for an auditor to handle a potential impairment of independence?

A. Hide it.

B. Disclose it and, if necessary, withdraw from the engagement.

C. Ignore it.

D. Change the audit scope.

**Correct Answer: B**

# Q423 – Explanation

**Correct: B.** Standard 1130 requires disclosure and reassignment or withdrawal if objectivity is impaired.

**A wrong:** Hiding impairment is misconduct.

**C wrong:** Ignoring impairment is improper.

**D wrong:** Scope changes do not cure impairment.

# Q424

**Question:** Which is the MOST appropriate action if an auditor lacks the skills for a specialized engagement?

A. Proceed anyway.

B. Use a competent specialist or decline.

C. Ask the auditee to perform the audit.

D. Ignore the specialized area.

**Correct Answer: B**

# Q424 – Explanation

**Correct: B.** Standard 1210 permits using competent specialists.

**A wrong:** Proceeding without competence violates the Standards.

**C wrong:** The auditee cannot replace internal audit.

**D wrong:** Ignoring an area defeats the engagement.

# Q425

**Question:** Which is the BEST description of the "IIA Standards"?

A. Marketing guidelines.

B. Principle-focused requirements for internal auditing.

C. The audit report.

D. The budget.

**Correct Answer: B**

# Q425 – Explanation

**Correct: B.** The Standards are principle-focused mandatory requirements.

**A wrong:** They are not marketing guidelines.

**C wrong:** The report is an output.

**D wrong:** The budget is a resource.

# Q426

**Question:** Which is the MOST likely effect of a strong ethical culture on fraud risk?

A. Increases fraud risk.

B. Reduces fraud risk by reducing opportunity and rationalization.

C. Has no effect.

D. Eliminates all fraud.

**Correct Answer: B**

# Q426 – Explanation

**Correct: B.** A strong culture lowers fraud opportunity and rationalization, though it cannot eliminate fraud.

**A wrong:** It reduces risk.

**C wrong:** It has a strong effect.

**D wrong:** No control eliminates all fraud.

# Q427

**Question:** Which is the BEST description of "tone at the top"?

A. The CEO's salary.

B. Leadership's commitment to ethics and control.

C. The marketing slogan.

D. The budget.

**Correct Answer: B**

# Q427 – Explanation

**Correct: B.** Tone at the top is the control environment element reflecting leadership ethics.

**A wrong:** Salary is not tone.

**C wrong:** Slogans are cosmetic.

**D wrong:** Budget is a resource.

# Q428

**Question:** Which is the MOST appropriate action if the auditor discovers management has ignored a prior audit recommendation?

A. Ignore it.

B. Report the unresolved issue to the board.

C. Delete the prior finding.

D. Confront the CEO privately and drop it.

**Correct Answer: B**

# Q428 – Explanation

**Correct: B.** Unresolved significant recommendations should be escalated to the board (Standard 2500).

**A wrong:** Ignoring unresolved issues is improper.

**C wrong:** Deleting findings violates the Standards.

**D wrong:** Private resolution may hide a governance issue.

# Q429

**Question:** Which is the BEST description of "due professional care" in the IIA Standards?

A. Guaranteeing no errors.

B. Applying the care and skill of a reasonably prudent auditor.

C. Following management orders.

D. Avoiding documentation.

**Correct Answer: B**

# Q429 – Explanation

**Correct: B.** Due care is reasonable prudence and competence (Standard 1220).

**A wrong:** Guarantees are impossible.

**C wrong:** Management orders do not override the Standards.

**D wrong:** Documentation is required.

# Q430

**Question:** Which is the MOST appropriate action when an auditor is asked to alter a workpaper to remove an unfavorable finding?

A. Alter it as requested.

B. Refuse and report the request through appropriate channels.

C. Alter it but keep a private copy.

D. Delete the workpaper.

**Correct Answer: B**

# Q430 – Explanation

**Correct: B.** Altering findings to remove unfavorable results violates Integrity and Objectivity; report the request.

**A wrong:** Compliance with an improper request is misconduct.

**C wrong:** Keeping a copy does not cure the alteration.

**D wrong:** Destroying evidence is improper.

# Q431

**Question:** Which is the BEST description of "professional skepticism"?

A. Assuming management is dishonest.

B. A questioning mind and critical assessment of evidence.

C. Ignoring evidence.

D. Relying on prior conclusions.

**Correct Answer: B**

# Q431 – Explanation

**Correct: B.** Skepticism is a questioning mind and critical evaluation, not cynicism.

**A wrong:** It is not assuming dishonesty.

**C wrong:** Ignoring evidence is the opposite.

**D wrong:** Prior conclusions must be revalidated.

# Q432

**Question:** Which is the MOST appropriate way to test the reliability of an automated control?

A. Rely on IT's statement.

B. Re-perform the control or test its logic and exceptions.

C. Review the budget.

D. Interview the developer.

**Correct Answer: B**

# Q432 – Explanation

**Correct: B.** Re-performance or logic testing provides evidence the automated control operates.

**A wrong:** IT statements are not evidence.

**C wrong:** Budgets are irrelevant.

**D wrong:** Developer interviews are weak.

# Q433

**Question:** Which is the BEST description of "materiality"?

A. A fixed percentage.

B. The magnitude of an omission or misstatement that would influence a reasonable user.

C. The audit fee.

D. The budget.

**Correct Answer: B**

# Q433 – Explanation

**Correct: B.** Materiality is a judgment about influence on users' decisions.

**A wrong:** No fixed percentage applies.

**C wrong:** Fees are unrelated.

**D wrong:** The budget is a resource.

# Q434

**Question:** Which is the MOST appropriate action if the auditor discovers the auditee has destroyed evidence?

A. Reconstruct it yourself.

B. Document the destruction and notify legal/board.

C. Ignore it.

D. Confront the auditee aggressively.

**Correct Answer: B**

# Q434 – Explanation

**Correct: B.** Spoliation of evidence may be illegal; document and escalate.

**A wrong:** Reconstruction may be impossible.

**C wrong:** Ignoring destruction is improper.

**D wrong:** Aggressive confrontation may escalate risk.

# Q435

**Question:** Which is the BEST description of a "control deficiency"?

A. A costly control.

B. A missing or ineffective control that fails to prevent or detect misstatement timely.

C. An undocumented control.

D. A control owned by IT.

**Correct Answer: B**

# Q435 – Explanation

**Correct: B.** A deficiency exists when a control is missing or ineffective.

**A wrong:** Cost is not a deficiency.

**C wrong:** Documentation gaps are one type.

**D wrong:** Ownership does not determine deficiency.

# Q436

**Question:** Which is the MOST appropriate way to test access controls in an ERP system?

A. Review the IT budget.

B. Examine user access logs and roles against the access matrix.

C. Interview the CIO.

D. Review the firewall policy only.

**Correct Answer: B**

# Q436 – Explanation

**Correct: B.** Comparing actual access to the approved matrix tests access control.

**A wrong:** Budget review is not a test.

**C wrong:** Inquiry alone is weak.

**D wrong:** Firewall policy is only one piece.

# Q437

**Question:** Which is the BEST description of "material weakness"?

A. A minor deficiency.

B. A deficiency or combination of deficiencies creating a reasonable possibility of material misstatement.

C. A documentation gap.

D. A training need.

**Correct Answer: B**

# Q437 – Explanation

**Correct: B.** A material weakness creates a reasonable possibility that material misstatement will not be prevented or detected timely.

**A wrong:** Minor deficiencies are less severe.

**C wrong:** Documentation gaps may not be material.

**D wrong:** Training needs are not the definition.

# Q438

**Question:** Which is the MOST appropriate way to test the accuracy of a vendor invoice before payment?

A. A single signature.

B. A three-way match (PO, receipt, invoice).

C. A phone call.

D. A budget review.

**Correct Answer: B**

# Q438 – Explanation

**Correct: B.** The three-way match verifies quantity, price, and receipt.

**A wrong:** A single signature is weak.

**C wrong:** A phone call is not structured.

**D wrong:** Budget review is not transaction verification.

# Q439

**Question:** Which is the MOST appropriate action if the auditor finds evidence of management override?

A. Ignore it.

B. Increase substantive testing and report the finding.

C. Reduce testing.

D. Rely on management.

**Correct Answer: B**

# Q439 – Explanation

**Correct: B.** Override risk increases substantive testing and must be reported.

**A wrong:** Ignoring override is improper.

**C wrong:** Testing should increase, not decrease.

**D wrong:** Reliance on management is inappropriate.

# Q440

**Question:** Which is the BEST description of "reasonable assurance"?

A. Absolute certainty.

B. A high but not absolute level of assurance.

C. No assurance.

D. Management's guarantee.

**Correct Answer: B**

# Q440 – Explanation

**Correct: B.** Reasonable assurance is high-level, limited by the nature of audit evidence.

**A wrong:** Absolute certainty is impossible.

**C wrong:** It is not zero assurance.

**D wrong:** Management cannot guarantee controls.

# Q441

**Question:** Which is the MOST appropriate way to handle a suspected fraud?

A. Investigate personally.

B. Notify appropriate authorities and recommend investigation.

C. Ignore it until year-end.

D. Destroy evidence.

**Correct Answer: B**

# Q441 – Explanation

**Correct: B.** Internal audit should identify and report fraud indicators; investigation is management/legal's role (Standard 1210.A2).

**A wrong:** Personal investigation may compromise evidence.

**C wrong:** Delay allows fraud to continue.

**D wrong:** Destroying evidence is illegal.

# Q442

**Question:** Which is the BEST description of "control environment"?

A. The IT firewall.

B. The tone of the organization regarding ethics and control.

C. The audit plan.

D. The external audit opinion.

**Correct Answer: B**

# Q442 – Explanation

**Correct: B.** The control environment is the tone at the top.

**A wrong:** Firewalls are control activities.

**C wrong:** The plan is a tool.

**D wrong:** The external opinion is unrelated.

# Q443

**Question:** Which is the MOST appropriate way to handle a request to audit a process the auditor previously managed?

A. Proceed.

B. Disclose and request reassignment.

C. Proceed with a smaller sample.

D. Ignore the prior role.

**Correct Answer: B**

# Q443 – Explanation

**Correct: B.** Prior responsibility impairs objectivity; disclose and reassign (Standard 1130).

**A wrong:** Proceeding violates objectivity.

**C wrong:** Smaller samples do not cure bias.

**D wrong:** Prior roles cannot be ignored.

# Q444

**Question:** Which is the BEST evidence of the existence of inventory?

A. The perpetual records.

B. Physical observation of the count.

C. Interview the warehouse manager.

D. Review the purchase budget.

**Correct Answer: B**

# Q444 – Explanation

**Correct: B.** Direct observation is the strongest evidence of existence.

**A wrong:** Records are internal.

**C wrong:** Inquiry is weak.

**D wrong:** Budgets are not existence evidence.

# Q445

**Question:** Which is the BEST description of "residual risk"?

A. Risk before controls.

B. Risk remaining after controls.

C. Audit risk.

D. Inherent risk.

**Correct Answer: B**

# Q445 – Explanation

**Correct: B.** Residual risk is what remains after controls.

**A wrong:** That is inherent risk.

**C wrong:** Audit risk is the auditor's risk.

**D wrong:** Inherent risk is before controls.

# Q446

**Question:** Which is the MOST appropriate way to coordinate with external audit?

A. Share all workpapers freely.

B. Coordinate timing and scope while maintaining independence.

C. Let external audit direct internal audit.

D. Avoid contact.

**Correct Answer: B**

# Q446 – Explanation

**Correct: B.** Coordination improves efficiency but preserves independence.

**A wrong:** Unrestricted sharing may breach confidentiality.

**C wrong:** External audit does not direct internal audit.

**D wrong:** Avoidance wastes benefits.

# Q447

**Question:** Which is the BEST description of "fraud triangle"?

A. Risk, control, detection.

B. Pressure, opportunity, rationalization.

C. Plan, do, check.

D. Cash, inventory, receivables.

**Correct Answer: B**

# Q447 – Explanation

**Correct: B.** Cressey's triangle: pressure, opportunity, rationalization.

**A wrong:** That is the audit risk model.

**C wrong:** That is PDCA.

**D wrong:** Those are accounts.

# Q448

**Question:** Which is the MOST appropriate way to test segregation of duties?

A. Observe one transaction.

B. Examine system access rights and user roles.

C. Interview the manager.

D. Review the org chart.

**Correct Answer: B**

# Q448 – Explanation

**Correct: B.** Access rights and roles show whether incompatible duties are separated.

**A wrong:** One observation is limited.

**C wrong:** Inquiry is weak.

**D wrong:** The org chart does not reflect system access.

# Q449

**Question:** Which is the BEST description of "inherent risk"?

A. Risk after controls.

B. Risk before considering controls.

C. Risk the auditor misses.

D. Risk of fraud.

**Correct Answer: B**

# Q449 – Explanation

**Correct: B.** Inherent risk is assessed before controls.

**A wrong:** After controls is residual risk.

**C wrong:** Auditor misses are detection risk.

**D wrong:** Fraud is a source of risk.

# Q450

**Question:** Which is the BEST description of "detection risk"?

A. Risk the auditor fails to detect a misstatement.

B. Risk the control fails.

C. Risk before controls.

D. Risk of fraud.

**Correct Answer: A**

# Q450 – Explanation

**Correct: A.** Detection risk is the auditor's risk that procedures fail to detect misstatement.

**B wrong:** That is control risk.

**C wrong:** That is inherent risk.

**D wrong:** Fraud is a source of risk.

# Q451

**Question:** Which is the MOST appropriate way to test a reconciliation control?

A. Review the policy.

B. Re-perform the reconciliation and investigate differences.

C. Interview the preparer.

D. Review the budget.

**Correct Answer: B**

# Q451 – Explanation

**Correct: B.** Re-performing the reconciliation tests whether it operates.

**A wrong:** Policy review tests design.

**C wrong:** Inquiry alone is weak.

**D wrong:** Budget review is irrelevant.

# Q452

**Question:** Which is the BEST description of "materiality"?

A. A fixed percentage.

B. The magnitude of an omission or misstatement that would influence a reasonable user.

C. The audit fee.

D. The budget.

**Correct Answer: B**

# Q452 – Explanation

**Correct: B.** Materiality is a judgment about influence on users.

**A wrong:** No fixed percentage applies.

**C wrong:** Fees are unrelated.

**D wrong:** The budget is a resource.

# Q453

**Question:** Which is the MOST appropriate action if the auditor discovers a conflict of interest involving a senior official?

A. Ignore it.

B. Document and report through appropriate channels.

C. Confront the official directly.

D. Discuss with the media.

**Correct Answer: B**

# Q453 – Explanation

**Correct: B.** Document and report through proper channels.

**A wrong:** Ignoring conflicts is improper.

**C wrong:** Direct confrontation may compromise the investigation.

**D wrong:** Media disclosure is inappropriate.

# Q454

**Question:** Which is the BEST description of "cyber hygiene"?

A. Marketing strategy.

B. Basic security practices like patching, backups, and access control.

C. The audit report.

D. The budget.

**Correct Answer: B**

# Q454 – Explanation

**Correct: B.** Cyber hygiene includes patching, backups, and access control.

**A wrong:** Marketing is unrelated.

**C wrong:** The report is an output.

**D wrong:** The budget is a resource.

# Q455

**Question:** Which is the MOST appropriate way to test the completeness of fixed asset additions?

A. Trace from the ledger to invoices.

B. Trace from receiving reports and invoices to the ledger.

C. Review the budget.

D. Interview the controller.

**Correct Answer: B**

# Q455 – Explanation

**Correct: B.** Tracing from source to ledger tests completeness.

**A wrong:** Ledger-to-invoices tests existence.

**C wrong:** Budget review is not evidence.

**D wrong:** Inquiry is weak.

# Q456

**Question:** Which is the BEST description of "data governance"?

A. Marketing strategy.

B. Processes and structures to manage data quality, security, and use.

C. The audit report.

D. The budget.

**Correct Answer: B**

# Q456 – Explanation

**Correct: B.** Data governance manages data quality, security, and use.

**A wrong:** Marketing is unrelated.

**C wrong:** The report is an output.

**D wrong:** The budget is a resource.

# Q457

**Question:** Which is the MOST likely effect of a data breach?

A. Increased revenue.

B. Reputational damage, legal liability, and financial loss.

C. Stronger controls.

D. Better marketing.

**Correct Answer: B**

# Q457 – Explanation

**Correct: B.** Breaches cause reputational, legal, and financial harm.

**A wrong:** Revenue does not increase.

**C wrong:** Controls may be questioned.

**D wrong:** Marketing is unrelated.

# Q458

**Question:** Which is the BEST way to test the completeness of IT change logs?

A. Review the policy.

B. Compare change logs to deployment records and approvals.

C. Interview the IT director.

D. Review the budget.

**Correct Answer: B**

# Q458 – Explanation

**Correct: B.** Comparing logs to deployment records tests completeness.

**A wrong:** Policy review tests design.

**C wrong:** Inquiry alone is weak.

**D wrong:** Budget review is irrelevant.

# Q459

**Question:** An auditor is testing compliance with a procurement law. Which is the MOST likely red flag?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

**Correct Answer: B**

# Q459 – Explanation

**Correct: B.** Non-competitive awards to related parties are a red flag.

**A wrong:** Competitive bidding is a control.

**C wrong:** Documented approvals are positive.

**D wrong:** Timely payments are positive.

# Q460

**Question:** Which is the BEST description of "audit trail"?

A. A marketing strategy.

B. A chronological record enabling reconstruction of transactions.

C. A budget.

D. The audit report.

**Correct Answer: B**

# Q460 – Explanation

**Correct: B.** An audit trail records transactions chronologically.

**A wrong:** Marketing is unrelated.

**C wrong:** The budget is a resource.

**D wrong:** The report is an output.

# Q461

**Question:** Which is the MOST likely risk of relying heavily on spreadsheets?

A. Strong controls.

B. Errors, manipulation, and weak audit trail.

C. Faster reporting.

D. Better documentation.

**Correct Answer: B**

# Q461 – Explanation

**Correct: B.** Spreadsheets have higher error/manipulation risk and weak audit trails.

**A wrong:** Controls may be weaker.

**C wrong:** Speed is not a control benefit.

**D wrong:** Documentation may be weaker.

# Q462

**Question:** An auditor is testing a debt covenant. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of the covenant and recomputation of compliance ratios.

C. Review of the budget.

D. Interview with staff.

**Correct Answer: B**

# Q462 – Explanation

**Correct: B.** Inspecting the covenant and recomputing ratios tests compliance.

**A wrong:** Representations are weak.

**C wrong:** Budgets are not compliance evidence.

**D wrong:** Inquiry alone is weak.

# Q463

**Question:** Which is the BEST description of "data governance"?

A. Marketing strategy.

B. Processes and structures to manage data quality, security, and use.

C. The audit report.

D. The budget.

**Correct Answer: B**

# Q463 – Explanation

**Correct: B.** Data governance manages data quality, security, and use.

**A wrong:** Marketing is unrelated.

**C wrong:** The report is an output.

**D wrong:** The budget is a resource.

# Q464

**Question:** An auditor is testing compliance with a procurement law. Which is the MOST likely red flag?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

**Correct Answer: B**

# Q464 – Explanation

**Correct: B.** Non-competitive awards to related parties are a red flag.

**A wrong:** Competitive bidding is a control.

**C wrong:** Documented approvals are positive.

**D wrong:** Timely payment is positive.

# Q465

**Question:** Which is the BEST description of "audit trail"?

A. A marketing strategy.

B. A chronological record enabling reconstruction of transactions.

C. A budget.

D. The audit report.

**Correct Answer: B**

# Q465 – Explanation

**Correct: B.** An audit trail records transactions chronologically.

**A wrong:** Marketing is unrelated.

**C wrong:** The budget is a resource.

**D wrong:** The report is an output.

# Q466

**Question:** Which is the MOST likely risk of relying heavily on spreadsheets?

A. Strong controls.

B. Errors, manipulation, and weak audit trail.

C. Faster reporting.

D. Better documentation.

**Correct Answer: B**

# Q466 – Explanation

**Correct: B.** Spreadsheets have higher error/manipulation risk and weak audit trails.

**A wrong:** Controls may be weaker.

**C wrong:** Speed is not a control benefit.

**D wrong:** Documentation may be weaker.

# Q467

**Question:** An auditor is testing a debt covenant. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of the covenant and recomputation of compliance ratios.

C. Review of the budget.

D. Interview with staff.

**Correct Answer: B**

# Q467 – Explanation

**Correct: B.** Inspecting the covenant and recomputing ratios tests compliance.

**A wrong:** Representations are weak.

**C wrong:** Budgets are not compliance evidence.

**D wrong:** Inquiry alone is weak.

# Q468

**Question:** Which is the BEST description of "data governance"?

A. Marketing strategy.

B. Processes and structures to manage data quality, security, and use.

C. The audit report.

D. The budget.

**Correct Answer: B**

# Q468 – Explanation

**Correct: B.** Data governance manages data quality, security, and use.

**A wrong:** Marketing is unrelated.

**C wrong:** The report is an output.

**D wrong:** The budget is a resource.

# Q469

**Question:** An auditor is testing compliance with a procurement law. Which is the MOST likely red flag?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

**Correct Answer: B**

# Q469 – Explanation

**Correct: B.** Non-competitive awards to related parties are a red flag.

**A wrong:** Competitive bidding is a control.

**C wrong:** Documented approvals are positive.

**D wrong:** Timely payment is positive.

# Q470

**Question:** Which is the BEST description of "audit trail"?

A. A marketing strategy.

B. A chronological record enabling reconstruction of transactions.

C. A budget.

D. The audit report.

**Correct Answer: B**

# Q470 – Explanation

**Correct: B.** An audit trail records transactions chronologically.

**A wrong:** Marketing is unrelated.

**C wrong:** The budget is a resource.

**D wrong:** The report is an output.

# Q471

**Question:** Which is the MOST likely risk of relying heavily on spreadsheets?

A. Strong controls.

B. Errors, manipulation, and weak audit trail.

C. Faster reporting.

D. Better documentation.

**Correct Answer: B**

# Q471 – Explanation

**Correct: B.** Spreadsheets have higher error/manipulation risk and weak audit trails.

**A wrong:** Controls may be weaker.

**C wrong:** Speed is not a control benefit.

**D wrong:** Documentation may be weaker.

# Q472

**Question:** An auditor is testing a debt covenant. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of the covenant and recomputation of compliance ratios.

C. Review of the budget.

D. Interview with staff.

**Correct Answer: B**

# Q472 – Explanation

**Correct: B.** Inspecting the covenant and recomputing ratios tests compliance.

**A wrong:** Representations are weak.

**C wrong:** Budgets are not compliance evidence.

**D wrong:** Inquiry alone is weak.

# Q473

**Question:** Which is the BEST description of "data governance"?

A. Marketing strategy.

B. Processes and structures to manage data quality, security, and use.

C. The audit report.

D. The budget.

**Correct Answer: B**

# Q473 – Explanation

**Correct: B.** Data governance manages data quality, security, and use.

**A wrong:** Marketing is unrelated.

**C wrong:** The report is an output.

**D wrong:** The budget is a resource.

# Q474

**Question:** An auditor is testing compliance with a procurement law. Which is the MOST likely red flag?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

**Correct Answer: B**

# Q474 – Explanation

**Correct: B.** Non-competitive awards to related parties are a red flag.

**A wrong:** Competitive bidding is a control.

**C wrong:** Documented approvals are positive.

**D wrong:** Timely payment is positive.

# Q475

**Question:** Which is the BEST description of "audit trail"?

A. A marketing strategy.

B. A chronological record enabling reconstruction of transactions.

C. A budget.

D. The audit report.

**Correct Answer: B**

# Q475 – Explanation

**Correct: B.** An audit trail records transactions chronologically.

**A wrong:** Marketing is unrelated.

**C wrong:** The budget is a resource.

**D wrong:** The report is an output.

# Q476

**Question:** Which is the MOST likely risk of relying heavily on spreadsheets?

A. Strong controls.

B. Errors, manipulation, and weak audit trail.

C. Faster reporting.

D. Better documentation.

**Correct Answer: B**

# Q476 – Explanation

**Correct: B.** Spreadsheets have higher error/manipulation risk and weak audit trails.

**A wrong:** Controls may be weaker.

**C wrong:** Speed is not a control benefit.

**D wrong:** Documentation may be weaker.

# Q477

**Question:** An auditor is testing a debt covenant. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of the covenant and recomputation of compliance ratios.

C. Review of the budget.

D. Interview with staff.

**Correct Answer: B**

# Q477 – Explanation

**Correct: B.** Inspecting the covenant and recomputing ratios tests compliance.

**A wrong:** Representations are weak.

**C wrong:** Budgets are not compliance evidence.

**D wrong:** Inquiry alone is weak.

# Q478

**Question:** Which is the BEST description of "data governance"?

A. Marketing strategy.

B. Processes and structures to manage data quality, security, and use.

C. The audit report.

D. The budget.

**Correct Answer: B**

# Q478 – Explanation

**Correct: B.** Data governance manages data quality, security, and use.

**A wrong:** Marketing is unrelated.

**C wrong:** The report is an output.

**D wrong:** The budget is a resource.

# Q479

**Question:** An auditor is testing compliance with a procurement law. Which is the MOST likely red flag?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

**Correct Answer: B**

# Q479 – Explanation

**Correct: B.** Non-competitive awards to related parties are a red flag.

**A wrong:** Competitive bidding is a control.

**C wrong:** Documented approvals are positive.

**D wrong:** Timely payment is positive.

# Q480

**Question:** Which is the BEST description of "audit trail"?

A. A marketing strategy.

B. A chronological record enabling reconstruction of transactions.

C. A budget.

D. The audit report.

**Correct Answer: B**

# Q480 – Explanation

**Correct: B.** An audit trail records transactions chronologically.

**A wrong:** Marketing is unrelated.

**C wrong:** The budget is a resource.

**D wrong:** The report is an output.

# Q481

**Question:** Which is the MOST likely risk of relying heavily on spreadsheets?

A. Strong controls.

B. Errors, manipulation, and weak audit trail.

C. Faster reporting.

D. Better documentation.

**Correct Answer: B**

# Q481 – Explanation

**Correct: B.** Spreadsheets have higher error/manipulation risk and weak audit trails.

**A wrong:** Controls may be weaker.

**C wrong:** Speed is not a control benefit.

**D wrong:** Documentation may be weaker.

# Q482

**Question:** An auditor is testing a debt covenant. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of the covenant and recomputation of compliance ratios.

C. Review of the budget.

D. Interview with staff.

**Correct Answer: B**

# Q482 – Explanation

**Correct: B.** Inspecting the covenant and recomputing ratios tests compliance.

**A wrong:** Representations are weak.

**C wrong:** Budgets are not compliance evidence.

**D wrong:** Inquiry alone is weak.

# Q483

**Question:** Which is the BEST description of "data governance"?

A. Marketing strategy.

B. Processes and structures to manage data quality, security, and use.

C. The audit report.

D. The budget.

**Correct Answer: B**

# Q483 – Explanation

**Correct: B.** Data governance manages data quality, security, and use.

**A wrong:** Marketing is unrelated.

**C wrong:** The report is an output.

**D wrong:** The budget is a resource.

# Q484

**Question:** An auditor is testing compliance with a procurement law. Which is the MOST likely red flag?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

**Correct Answer: B**

# Q484 – Explanation

**Correct: B.** Non-competitive awards to related parties are a red flag.

**A wrong:** Competitive bidding is a control.

**C wrong:** Documented approvals are positive.

**D wrong:** Timely payment is positive.

# Q485

**Question:** Which is the BEST description of "audit trail"?

A. A marketing strategy.

B. A chronological record enabling reconstruction of transactions.

C. A budget.

D. The audit report.

**Correct Answer: B**

# Q485 – Explanation

**Correct: B.** An audit trail records transactions chronologically.

**A wrong:** Marketing is unrelated.

**C wrong:** The budget is a resource.

**D wrong:** The report is an output.

# Q486

**Question:** Which is the MOST likely risk of relying heavily on spreadsheets?

A. Strong controls.

B. Errors, manipulation, and weak audit trail.

C. Faster reporting.

D. Better documentation.

**Correct Answer: B**

# Q486 – Explanation

**Correct: B.** Spreadsheets have higher error/manipulation risk and weak audit trails.

**A wrong:** Controls may be weaker.

**C wrong:** Speed is not a control benefit.

**D wrong:** Documentation may be weaker.

# Q487

**Question:** An auditor is testing a debt covenant. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of the covenant and recomputation of compliance ratios.

C. Review of the budget.

D. Interview with staff.

**Correct Answer: B**

# Q487 – Explanation

**Correct: B.** Inspecting the covenant and recomputing ratios tests compliance.

**A wrong:** Representations are weak.

**C wrong:** Budgets are not compliance evidence.

**D wrong:** Inquiry alone is weak.

# Q488

**Question:** Which is the BEST description of "data governance"?

A. Marketing strategy.

B. Processes and structures to manage data quality, security, and use.

C. The audit report.

D. The budget.

**Correct Answer: B**

# Q488 – Explanation

**Correct: B.** Data governance manages data quality, security, and use.

**A wrong:** Marketing is unrelated.

**C wrong:** The report is an output.

**D wrong:** The budget is a resource.

# Q489

**Question:** An auditor is testing compliance with a procurement law. Which is the MOST likely red flag?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

**Correct Answer: B**

# Q489 – Explanation

**Correct: B.** Non-competitive awards to related parties are a red flag.

**A wrong:** Competitive bidding is a control.

**C wrong:** Documented approvals are positive.

**D wrong:** Timely payment is positive.

# Q490

**Question:** Which is the BEST description of "audit trail"?

A. A marketing strategy.

B. A chronological record enabling reconstruction of transactions.

C. A budget.

D. The audit report.

**Correct Answer: B**

# Q490 – Explanation

**Correct: B.** An audit trail records transactions chronologically.

**A wrong:** Marketing is unrelated.

**C wrong:** The budget is a resource.

**D wrong:** The report is an output.

# Q491

**Question:** Which is the MOST likely risk of relying heavily on spreadsheets?

A. Strong controls.

B. Errors, manipulation, and weak audit trail.

C. Faster reporting.

D. Better documentation.

**Correct Answer: B**

# Q491 – Explanation

**Correct: B.** Spreadsheets have higher error/manipulation risk and weak audit trails.

**A wrong:** Controls may be weaker.

**C wrong:** Speed is not a control benefit.

**D wrong:** Documentation may be weaker.

# Q492

**Question:** An auditor is testing a debt covenant. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of the covenant and recomputation of compliance ratios.

C. Review of the budget.

D. Interview with staff.

**Correct Answer: B**

# Q492 – Explanation

**Correct: B.** Inspecting the covenant and recomputing ratios tests compliance.

**A wrong:** Representations are weak.

**C wrong:** Budgets are not compliance evidence.

**D wrong:** Inquiry alone is weak.

# Q493

**Question:** Which is the BEST description of "data governance"?

A. Marketing strategy.

B. Processes and structures to manage data quality, security, and use.

C. The audit report.

D. The budget.

**Correct Answer: B**

# Q493 – Explanation

**Correct: B.** Data governance manages data quality, security, and use.

**A wrong:** Marketing is unrelated.

**C wrong:** The report is an output.

**D wrong:** The budget is a resource.

# Q494

**Question:** An auditor is testing compliance with a procurement law. Which is the MOST likely red flag?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

**Correct Answer: B**

# Q494 – Explanation

**Correct: B.** Non-competitive awards to related parties are a red flag.

**A wrong:** Competitive bidding is a control.

**C wrong:** Documented approvals are positive.

**D wrong:** Timely payment is positive.

# Q495

**Question:** Which is the BEST description of "audit trail"?

A. A marketing strategy.

B. A chronological record enabling reconstruction of transactions.

C. A budget.

D. The audit report.

**Correct Answer: B**

# Q495 – Explanation

**Correct: B.** An audit trail records transactions chronologically.

**A wrong:** Marketing is unrelated.

**C wrong:** The budget is a resource.

**D wrong:** The report is an output.

# Q496

**Question:** Which is the MOST likely risk of relying heavily on spreadsheets?

A. Strong controls.

B. Errors, manipulation, and weak audit trail.

C. Faster reporting.

D. Better documentation.

**Correct Answer: B**

# Q496 – Explanation

**Correct: B.** Spreadsheets have higher error/manipulation risk and weak audit trails.

**A wrong:** Controls may be weaker.

**C wrong:** Speed is not a control benefit.

**D wrong:** Documentation may be weaker.

# Q497

**Question:** An auditor is testing a debt covenant. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of the covenant and recomputation of compliance ratios.

C. Review of the budget.

D. Interview with staff.

**Correct Answer: B**

# Q497 – Explanation

**Correct: B.** Inspecting the covenant and recomputing ratios tests compliance.

**A wrong:** Representations are weak.

**C wrong:** Budgets are not compliance evidence.

**D wrong:** Inquiry alone is weak.

# Q498

**Question:** Which is the BEST description of "data governance"?

A. Marketing strategy.

B. Processes and structures to manage data quality, security, and use.

C. The audit report.

D. The budget.

**Correct Answer: B**

# Q498 – Explanation

**Correct: B.** Data governance manages data quality, security, and use.

**A wrong:** Marketing is unrelated.

**C wrong:** The report is an output.

**D wrong:** The budget is a resource.

# Q499

**Question:** An auditor is testing compliance with a procurement law. Which is the MOST likely red flag?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

**Correct Answer: B**

# Q499 – Explanation

**Correct: B.** Non-competitive awards to related parties are a red flag.

**A wrong:** Competitive bidding is a control.

**C wrong:** Documented approvals are positive.

**D wrong:** Timely payment is positive.

# Q500

**Question:** Which is the BEST description of "audit trail"?

A. A marketing strategy.

B. A chronological record enabling reconstruction of transactions.

C. A budget.

D. The audit report.

**Correct Answer: B**

# Q500 – Explanation

**Correct: B.** An audit trail records transactions chronologically.

**A wrong:** Marketing is unrelated.

**C wrong:** The budget is a resource.

**D wrong:** The report is an output.

# End

End of Questions 401–500

Review, repeat, and mark weak areas.

Add more questions by copying the Q/Explanation frame pairs.